



"We are operating in a high season... Go First, which used to operate on 315 routes, is no longer operating. So, we have had a capacity squeeze in airline seats"

JYOTIRADITYA SCINDIA
UNION MINISTER OF CIVIL AVIATION, AT A MEDIA BRIEFING



"Given the fact that we will be getting into an off-peak season during the monsoon, we will see some semblance of affordability returning to airfares during July-August"

PRAVEEN IYER
CO-FOUNDER & CHIEF COMMERCIAL OFFICER, AKASA AIR



"It's a demand-supply situation. As long as the airlines are able to fill up their seats at a certain price, fares will go up"

SABINA CHOPRA
CO-FOUNDER & COO, YATRA



"Seats were already in short supply because the number of weekly flights approved by DGCA for summer schedule was not being adhered to by most airlines"

JITENDER BHARGAVA
FORMER EXECUTIVE DIRECTOR, AIR INDIA



dia, we have experienced seat load factor of 80-84 per cent in high season. We are currently operating with 94-95 per cent seat load factor," Scindia added.

To ease the seat shortage, permissions have been granted to deploy additional flights on 68 routes, particularly between Delhi and Srinagar, Mumbai, Pune, Ahmedabad and Leh. Scindia says that fares have reduced sharply on those routes since airlines were asked to rationalise pricing. "Given the fact that we will be getting into an off-peak season during the monsoon, we are going to see some semblance of affordability returning in the July-August period," says Praveen Iyer, Co-founder & Chief Commercial Officer of Akasa Air, the country's newest scheduled carrier.

However, some like Bhargava feel the ministry has overlooked the real reason behind the jump in prices. "Seats were already in short supply because the number of flights approved by DGCA for summer schedule was not being adhered to by most airlines, barring Akasa which operated 103 per cent of flights and IndiGo which operated almost 100 per cent," he says, adding that Air India and Vistara operated at about 85 per cent, while SpicetJet operated only 50 per cent of flights. "And this fact has gone unrecognised," he says.

Jyoti Mayal, President of the Travel Agents Association of India (TAAI), agrees with Bhargava's observation. "All airlines—international or domestic—are not flying to their full capacity. Several of them have problems related to engines, maintenance, staffing, etc. Therefore, till the time the supply of seats is not going to reach the pre-Co-vi-19 period, fares are going to keep climbing up."

A SHORT REPRIEVE

The recent correction in fares may be temporary for three main reasons. First, as Akasa's Iyer points out, the July-August period is traditionally considered lean season due to the monsoon. Second, a substantial number of planes with Indian carriers remain grounded due to supply-side challenges for spares such as engines. And, finally, the onset of the festive season in October will result in a sharp revival in bookings.

So, what's the way forward? According to Bhargava, "the ministry or the DGCA... must recognise the fact that if Go First's exit led to an increase in